LONDON OFFICE MARKET · OWNER UPDATE

Occupiers are back; capital is still cautious

Top team signals (none added yet)

Central London vacancy fell to 8.0% in Q2 2026 from 8.5% in Q1 2026, with take-up of 3.10m sq ft, 11% above the long-term average, and active requirements up to 14.30m sq ft.

Investment was £2.00bn in Q2 2026 against £1.90bn in Q1 2026, 36% below the long-term average.

To watch: investment sentiment hit by renewed interest rate volatility (London).

VACANCY RATE · Q2 2026

8.0% [1]

−0.50pp vs Q1 2026

TAKE-UP · Q2 2026

3.10m sq ft [1]

+0.60 vs Q1 2026 · +11% vs LTA

INVESTMENT VOLUME · Q2 2026

£2.00bn [1]

+0.10 vs Q1 2026 · -36% vs LTA

BANK RATE

3.75% [2]

as of 2026-06-18

Figures restated from public research for this proof of concept (Knight Frank terms bar AI use of their data); verify against the original before external use.

THE CALL THIS WEEK

Leasing has turned. *Pricing has not.*

Take-up is 11% above its long-term average; investment is 36% below it.

Vacancy fell to *8.0%* as take-up ran ahead of average

8.0%

VACANCY RATE · Q2 2026

−0.50pp vs Q1 2026 [1]

3.10m sq ft

TAKE-UP · Q2 2026

+0.60 vs Q1 2026 [1] +11% against the long-term average.

£2.00bn

INVESTMENT VOLUME · Q2 2026

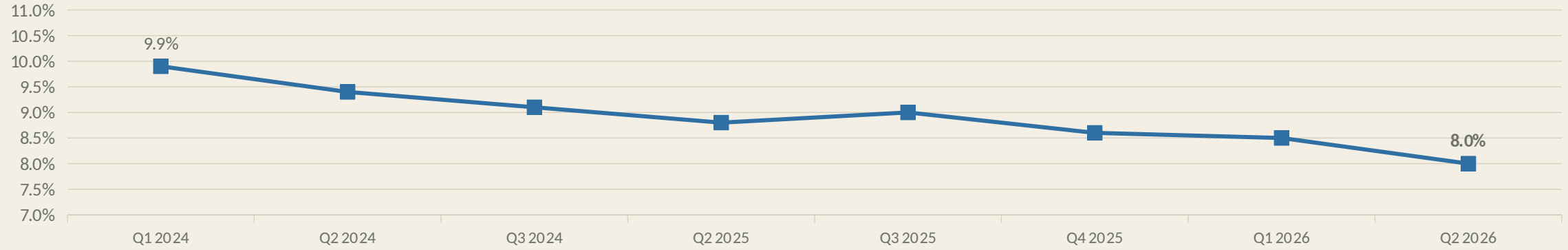
+0.10 vs Q1 2026 [1] -36% against the long-term average.

3.75%

BANK RATE · AS OF 2026-06-18

Bank of England Bank Rate [2].

CENTRAL LONDON VACANCY RATE



SO WHAT *Less space on the market supports rents in the core submarkets.*

Source [3]. Quarters with no figures in the library are not shown.

Three things to tell owners this week

01

Demand is building

Active requirements are up to 14.30m sq ft and take-up of 3.10m sq ft is 11% above the long-term average.

02

Core rents are holding

West End Core leads at £185/sq ft and few submarkets moved on the quarter.

03

Capital is selective

Investment of £2.00bn is 36% below the long-term average; City & Southbank is 77% below its own.

SO WHAT *Hold asking rents in the core; price City assets off the Churchill Place evidence.*

Five quarters of falling vacancy

Q2 2025	Q3 2025	Q4 2025	Q1 2026	Q2 2026
Vacancy 8.8%	**Vacancy 9.0%**	**Vacancy 8.6%**	**Vacancy 8.5%**	**Vacancy 8.0%**
Take-up 3.53m sq ft [6]	Take-up 2.70m sq ft [7]	Take-up 3.30m sq ft [8]	Take-up 2.50m sq ft [9]	Take-up 3.10m sq ft [1]

Sources and caveats

[1] London Offices Spotlight Q2 2026 (Uploaded by PoC seed · 2026-10-10) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/london-office-spotlight/spotlight-q2-2026.pdf
[2] Bank of England Bank Rate - https://www.bankofengland.co.uk/boeapps/database/Bank-Rate.asp
[3] The London Office Market Report Q1 2024 (Uploaded by PoC seed · 2026-10-10) - https://content.knightfrank.com/research/104/documents/en/the-london-office-market-report-q1-2024-11170.pdf
[4] London Offices Spotlight Q2 2024 (Uploaded by PoC seed · 2026-10-10) - https://content.knightfrank.com/research/1903/documents/en/london-offices-spotlight-q2-2024-11338.pdf
[5] The London Office Market Report Q3 2024 (Uploaded by PoC seed · 2026-10-10) - https://www.knightfrank.co.uk/research/reports/the-london-office-market-report-104/contentassets/the-london-office-market-report-q3-2024-11701.pdf
[6] The London Office Market Report Q2 2025 (Uploaded by PoC seed · 2026-10-10) - https://content.knightfrank.com/research/104/documents/en/the-london-office-market-report-q2-2025-12541.pdf
[7] London Offices Spotlight Q3 2025 (Uploaded by PoC seed · 2026-10-10) - https://content.knightfrank.com/research/1903/documents/en/london-offices-spotlight-q3-2025-12540.pdf
[8] London Offices Spotlight Q4 2025 (Uploaded by PoC seed · 2026-10-10) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/spotlight/spotlight-q4-2025-2.pdf
[9] London Offices Spotlight Q1 2026 (Uploaded by PoC seed · 2026-10-10) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/london-office-spotlight/spotlight-q1-2026v3.pdf
[10] Knight Frank research (seed) (2026-06-30) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/london-office-spotlight/spotlight-q2-2026.pdf
[11] Knight Frank research (seed) (2025-12-31) - https://www.knightfrank.co.uk/site-assets/research/report-pdfs/spotlight/spotlight-q4-2025-2.pdf

Figures restated from public research for this proof of concept (Knight Frank terms bar AI use of their data); verify against the original before external use.

🟢 collected automatically from open data · 🟠 uploaded by a colleague under the team's own access